



MIDDLE MARKET FOCUSED SDI

SUBSELECT FREQUENTLY ASKED QUESTIONS

What is SubSelect?

SubSelect is a form of Subcontractor Default Insurance (SDI) designed to offer the risk mitigation benefits of traditional SDI to construction firms that do not currently qualify for an SDI program.

Who is SubSelect for?

General Contractors who are not a current SDI buyer, are located in the continental US, have been in business for 10 or more years, and have current, annual revenue of greater than \$50M but not more than \$250M.

What's the difference between SubSelect & traditional SDI?

The coverage features for SubSelect include, but are not limited to, the following:

- Written on a project specific basis
- Utilizes smaller limits
 - Up to \$5M per loss / \$10M aggregate (varies by project size)
 - Subject to a maximum of 1.25x the subcontract amount
- Insured selects coverage level up front: 80%, 85%, or 90% of actual loss sustained
- 1 year tail calculated on a per subcontract basis
- No deductibles or copay layer

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How much does
SubSelect cost?

Between 1% and 1.5% of the total value of the subcontracted work on the covered project.

How does
SubSelect work?

It's a **3-STEP** process.

STEP 1: We underwrite the GC and the project based on an application for the GC + the requested documents. If approved, we issue a quote and then a binder based on the option selected.

STEP 2: We underwrite each subcontractor on the covered project based on an application for the subcontractor + the requested documents that are submitted by the subcontractor directly to Vantage.

STEP 3: We audit the final subcontract values at project completion and invoice for any additional premium owed where subcontracts have changed in value due to change orders during the construction of the project.

What are the
options that a GC
can pick from?

SubSelect quote will provide the approved General Contractor with the following options:

	Insurance Limits	Premium Rate
Option 1	90% of Loss covered	1.5% of the total subcontracted volume
Option 2	85% of Loss covered	1.25% of the total subcontracted volume
Option 3	80% of Loss covered	1% of the total subcontracted volume

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Is there any profit potential like a traditional SDI program?

Yes, SubSelect can include a no-loss dividend of up to 15% of the total premium paid that is returned to the General Contractor at the end of the tail period which we define as 1 year post-substantial completion of the last, covered subcontractor to complete work on the covered job. Here are the options:

	Insurance Limits	No-Loss Dividend
Option 1	90% of Loss covered	0% of the total premium paid
Option 2	85% of Loss covered	10% of the total premium paid
Option 3	80% of Loss covered	15% of the total premium paid

How does the billing for SubSelect work?

Premium is calculated as a percentage of the total estimated value of the subcontracted work on the covered project (between 1% and 1.5% depending on the option selected), and an invoice is issued along with your SubSelect policy. The premium is due thirty days from the issuance date of the invoice.

How does a GC qualify for SubSelect?

An interested General Contractor must fill out and execute an application and then submit the completed application + the requested documents to Vantage. We then underwrite the General Contractor and the project based on the submitted information. A copy of the subcontractor application is available upon request.

SUBSELECT FREQUENTLY ASKED QUESTIONS

How does a Subcontractor qualify for SubSelect?

Each subcontractor on a covered project must fill out and execute an application and then submit the completed application + the requested documents to Vantage. We then underwrite each subcontractor and award them a prequalification score or rating. For each subcontractor that scores at or above the coverage eligibility threshold, those subcontractors are covered by SubSelect. For those subcontractors that do not, they are not covered. A copy of the subcontractor application is available upon request

What happens if a Subcontractor doesn't qualify for SubSelect?

If after the prequalification process is complete and a subcontractor does not pass our underwriting process, the subcontractor is not covered and any premium collected for that subcontract is returned.

Does the GC get to see the Subcontractor prequalification scores?

Yes, we will share prequalification scores for each subcontractor with the General Contractor, but not the underlying data used to prequalify the subcontractors.

Can both SubSelect and bonds be used on a SubSelect project?

That depends. Once a project has been approved for SubSelect, all of the subcontractors performing work on the approved project must go thru the prequalification process. Once prequalification is complete, approved subcontractors are covered and subcontractors that are not approved may be bonded at the GC's discretion.

SUBSELECT FREQUENTLY ASKED QUESTIONS

Are Suppliers covered?

A SubSelect policy does not cover purchase orders.

Are there any other specific exclusions?

The two most important ones are as follows:

- SubSelect does not cover wood frame subcontractors.
- SubSelect does not cover indirect costs.
- SubSelect does not cover For-Sale Residential projects.

How does the claims process work?

Similar to a traditional SDI program, after you submit documentation to Vantage proving the loss incurred in excess of the subcontract balance and any/all applicable contingency funds, we reimburse you up to the covered limit for costs and expenses directly related to a subcontractor that has defaulted on its covered subcontract.

How does this help a GC grow their business?

As SDI has become increasingly utilized, more owners and lenders expect their General Contractor partners to have access to the product, and that means not having an SDI program in place can negatively impact a General Contractor's ability to win jobs. SubSelect is designed to provide access to the product and help General Contractor's grow their business by creating a competitive advantage typically reserved for the largest of construction firms.

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How does this help a GC become more profitable?

First, if there are no losses on a covered project, SubSelect can provide for a no-loss dividend, depending on the option selected, that increases a General Contractor's bottom-line, and this potential, additional revenue, helps General Contractor's become more profitable. Second, SubSelect provides protection against subcontractor default risk which can negatively affect a General Contractor's bottom-line.

How does this help an Owner grow their business and become more profitable?

When a construction project does not complete as planned, that failure can have widespread, negative impacts on an owner's reputation, ability to secure financing on additional projects, maintain financing at current rates and terms on existing projects, and most importantly, their bottom line. Without access to a traditional SDI program, the risk of a subcontractor defaulting on a project is either mitigated by surety bonds or that critical risk isn't mitigated at all. SubSelect provides broad, cost-effective protection thru a single policy form that helps the General Contractor manage default risk and increases the likelihood of delivering a successful project. Providing a product that helps owners take every step towards ensuring that construction projects complete on time, within budget, and defect free is how SubSelect helps owners grow their business and become more profitable.

“At Vantage, we see a unique opportunity to reimagine how we, the carrier, evaluate risk while simultaneously creating value for our customers. To us, it really is that simple. We combine the dynamic, tech-enabled mindset of an Insurtech with the underwriting, risk engineering, and claims expertise only a carrier can provide.”

- Megan Fletcher
Senior Vice President
Head of SDI

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Vantage Risk Specialty
Insurance Company (VRSIC) –
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FINANCIAL STRENGTH

Vantage Risk Specialty
Insurance Company (VRSIC)
rated A-XII (Excellent) by AM
Best (as of January 2023)

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SUB SELECT

**MIDDLE MARKET FOCUSED
SUBCONTRACTOR DEFAULT INSURANCE**



We see risk differently